

LAKSH'S DAILY BRIEF

Laksh's Daily Brief: July 29, 2026

Wednesday, July 29, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



oilandgas360.com — Asia is rewriting the global energy map - Oil & Gas 360



newsweek.com — US Reveals Rare Coast Guard Drills with Taiwan - Newsweek



nbcnews.com — Iran War: Latest News, Live Coverage and Video | NBC News

1. World & Geopolitics

Iran War Escalates: Ballistic Missile Attack on U.S. Forces, Oil Jumps, Saudi Arabia Joins Strikes

Iran launched a surprise ballistic missile attack on U.S. military bases in the Middle East early today, breaking a brief pause in hostilities. All missiles were intercepted, according to U.S. Central Command ([CNBC](#)). The attack came just days after a tentative ceasefire had raised hopes for diplomacy. In response, oil prices surged: Brent crude jumped above \$100 a barrel, as the **Strait of Hormuz** — the narrow waterway through which about 20% of the world's oil passes — remains a chokepoint for tankers ([CNBC](#)). Saudi Arabia joined U.S. strikes on Iran-backed militias in Iraq, signaling a broader regional alignment against Tehran ([BBC](#)). The stakes are clear: any disruption to Strait of Hormuz shipping would spike global energy prices and hit every economy that imports oil.

Background: The U.S.-Iran conflict began in February after a series of escalating incidents. A brief diplomatic window opened last week, with Iran's Supreme Leader Khamenei tying a peace deal to Israel ending attacks on Lebanon ([Al Jazeera](#)). Pakistan and Iran, with China's backing, were exploring new talks with the U.S. ([Reuters](#)). But today's missile attack shatters that momentum.

What it means: The oil price spike is a headwind for the global economy, especially for net importers like India and China. For the AI buildout, higher energy costs raise the operating expense of data centers, which are already power-hungry. It also adds to inflation concerns,

complicating the Federal Reserve's interest-rate decision later this week.

Uncertainty: Whether the U.S. will retaliate heavily or seek de-escalation. Defense Secretary Hegseth said Trump chose "mercy" in dealing with Iran ([NBC News](#)), but the attack may force a more aggressive response.

Taiwan: U.S. Coast Guard Drills, Congress Approves \$500M in Defense Aid, China Responds with Military Drills

The U.S. revealed rare public Coast Guard drills with Taiwan, conducted under a 2021 memorandum of understanding ([Newsweek](#)). Separately, the U.S. House passed a bill allocating \$500 million in Foreign Military Financing for Taiwan, part of the 2027 fiscal year appropriations ([Defense News](#)). China responded by launching military drills in the Taiwan Strait, calling them a warning against "separatist activities" ([Newsweek](#)). The island remains the world's most critical semiconductor supply chain node — TSMC (TSM) produces the vast majority of advanced chips. Any conflict would halt global AI hardware production.

Why it matters: The U.S. is signaling commitment to Taiwan's defense, but China's drills show it will not back down. This tension is a persistent risk for the semiconductor supply chain.

Ukraine: Russia Running Out of Options? Drone Strikes on Russian Industrial Sites

A senior Ukrainian negotiator told NPR that Russia is running out of options and that Kyiv's position is to

freeze the fighting along the current frontline, without recognizing occupied territories ([NPR](#)). The Kremlin dismissed rumors of a U.S.-Ukraine air ceasefire as "strategic ambiguity" ([Streamline](#)). Meanwhile, Ukrainian drone attacks set Russian industrial sites on fire, including a warehouse of top retailer Wildberries in Ryazan ([Al Jazeera](#)). These strikes are part of a deep-strike campaign to pressure Russia into negotiations.

What it means: The war is entering a critical phase before winter, with both sides hoping for a breakthrough. The West's plan to pressure Putin via deep strikes may be flawed, as some analysts argue it misunderstands Russian politics ([Responsible Statecraft](#)). For markets, continued conflict keeps energy and grain prices elevated.

Japan Earthquake: Death Toll Rises, Rescue Teams Race Against Time

A powerful earthquake struck southern Japan near Kumamoto, killing at least 13 people, with rescue teams searching for survivors trapped in a collapsed shopping mall ([The Guardian](#)). The quake may disrupt some semiconductor and electronics supply chains in the region, though Japan is less central to AI chip production than Taiwan.

India: Drone Industry Accelerates, Rare Earth Ties with Myanmar, Pharma M&A Record

India's Defense Minister stressed the urgency of building a domestic drone ecosystem, learning from the Russia-Ukraine and Iran wars ([India's News Net](#)). Separately, India and Myanmar signaled closer rare earth mining ties, as New Delhi seeks alternative supplies to China ([Mining.com](#)). India's pharmaceutical sector saw record M&A activity, led by Sun Pharma's \$11.75 billion bid for U.S.-based Organon ([ETPharma](#)). These moves show India's strategic push into defense, critical minerals, and global pharma.

Other Notable Stories

- **Lebanon:** Israel intensified strikes on Lebanon, with videos showing attacks on densely populated neighborhoods ([BBC](#)). Hezbollah has been drawn into the conflict since March.
- **Saudi Arabia's oil workaround:** To bypass Strait of Hormuz risks, Saudi Arabia is using a Mediterranean port for exports, a longer and more expensive route ([MarketWatch](#)).
- **Asia energy map:** Asia is emerging as the epicenter of the global energy landscape, with shifting trade corridors and production policies ([Oil & Gas 360](#)).
- **Philippines:** The Philippines holds the line in the U.S.-China rivalry, resisting Chinese encroachment in the South China Sea ([Newsweek](#)).

2. Markets, Money & Deals

Market Tape: Mixed as Fed and Big Tech Earnings Loom, Oil Jumps, Tech Sell-Off Continues

U.S. stocks were mixed Monday, with the Dow holding gains while the S&P 500 and Nasdaq turned lower as oil prices spiked on renewed Iran strikes ([MarketWatch](#)). The Federal Reserve's two-day policy meeting begins today, with a rate decision expected Wednesday. Markets are pricing in a 25-basis-point rate cut, but the inflation impulse from oil could complicate the outlook ([Investopedia](#)). Big Tech earnings are the other major event: Microsoft, Meta, Apple, and Amazon report this week, and investors will scrutinize their AI **capex** plans ([CNBC](#)). The market is on edge, with tech stocks already under pressure from "circular financing" concerns (see Section 3).

SK Hynix Shares Tank: Exponential Growth Not Enough for AI-Charged Expectations

Shares of SK Hynix fell sharply after the company reported exponential profit and revenue growth, but still missed analysts' lofty expectations ([CNBC](#)). The stock's decline dragged down the broader Korean chip sector, including Samsung and leveraged ETFs (KODEX), causing heavy losses for retail investors who had bet on continued gains ([CNBC](#)). This is a classic case of "buy the rumor, sell the news" — the HBM (High-Bandwidth Memory) leader's earnings were strong, but the bar was impossibly high.

Amazon Sells \$25 Billion in Bonds to Finance AI Data Center Build-Out

Amazon CEO Andy Jassy announced the company has sold \$25 billion in bonds, part of a \$200 billion **capex** commitment for 2026 to fund AI data center infrastructure ([The Motley Fool](#)). This is the largest single bond sale by a company this year and underscores the scale of the AI buildout. The debt financing adds to the circular financing debate (see Section 3).

Seagate Earnings Beat: A Bright Spot for the Battered AI Trade

Seagate Technology reported June-quarter results that beat Wall Street expectations, sending its stock up after hours ([MarketWatch](#)). Storage demand is tied to data center expansion, so Seagate's strong performance is a positive signal for the AI infrastructure buildout, even as chip stocks sell off.

Other Notable Moves and Deals

- **SoftBank:** Shares fell 7% as AI plays took a hit, with Chinese internet stocks bucking the trend ([CNBC](#)).
- **Paramount / Warner Bros. Merger:** The EU approved the \$81 billion merger with conditions ([The Economic Times](#)), but a U.S. federal judge temporarily blocked the deal until August 3 amid a competition lawsuit ([Storyboard18](#)).
- **Argenx buys Forte Biosciences:** \$2.2 billion deal to deepen immuno expertise ([BioSpace](#)).
- **Ingredion / Tate & Lyle:** Shareholders approved the £2.7 billion deal ([Food Ingredients First](#)).
- **Hybe shares crash 16%:** BTS' concerts were so successful they hurt the agency's shares — a counterintuitive result ([CNBC](#)).
- **IPL value rockets to \$20 billion:** The Indian Premier League's business value rose 11% ([Al Jazeera](#)).
- **Oil prices:** Brent crude rose sharply, approaching \$100/barrel, on the Iran escalation ([CNBC](#)).

3. AI & Infrastructure

Nvidia's \$750 Billion Deals: Circular Financing Debate Intensifies

Nvidia is working on a fresh round of AI infrastructure deals potentially worth more than \$750 billion, including a \$250 billion guarantee to help OpenAI lease computing from a U.S. data center operator ([Yahoo Finance](#), [Reuters](#)). Separately, Nvidia and SK Group unveiled a \$500 billion+ AI data center initiative including next-generation memory partnerships ([Reuters](#)). These mega-deals revive the "circular financing" concern: hyperscalers and neoclouds borrow heavily to buy Nvidia GPUs, with Nvidia itself providing financing guarantees. Skeptics argue this artificially inflates demand and creates a bubble. The key metric to watch is **free cash flow (FCF)** — if AI capex exceeds FCF generation, the debt burden becomes unsustainable for investors.

AMD Secures \$14B AI Data Center Deal with Core Scientific

AMD announced it has secured more than 529 megawatts of U.S. AI data center capacity from Core Scientific (CORZ) under 15-year leases worth at least \$14 billion in base revenue ([Tech Times](#)). This is AMD's

largest infrastructure commitment and a sign that AMD is aggressively competing with Nvidia for the AI colocation market. It also reflects the growing role of **grid interconnection** as a bottleneck: securing power capacity is now as important as securing GPUs.

Amazon's \$200 Billion Capex: Bonds Fuel the Build-Out

Amazon's \$25 billion bond sale (see Markets) is part of a \$200 billion **capex** plan for 2026, focused on AI data centers. Amazon is betting on its own Trainium AI chips and its deep partnership with Anthropic to keep enterprise customers inside the AWS ecosystem ([Tech Insider](#)). The company's cloud market share is under pressure from Google Cloud (82% growth) and Microsoft Azure's OpenAI-led momentum.

Chinese Firms Narrow DRAM, HBM Gaps: Threat to Memory Makers

Chinese semiconductor firms are rapidly closing the technological gap in DRAM and HBM production, according to a report from Chosun ([The Chosun](#)). While SMIC, China's largest foundry, cannot access EUV lithography for chips below 5nm, Chinese memory makers are making progress using domestic DUV tools.

This poses a medium-term threat to SK Hynix, Samsung, and Micron (MU). However, the gap is still significant; the risk is more about sentiment than immediate disruption.

Kimi K3 Open-Weight Model: Largest Open Model Released, but License Has Caveats

Moonshot AI released the full weights for Kimi K3, a 2.8 trillion-parameter model with a 1 million-token context window, making it the largest open-weight model publicly available ([VentureBeat](#), [Quartz](#)). However, the model comes with a custom license that restricts certain uses, meaning it's not fully "open" in the traditional sense. This is part of a broader trend: as **token costs** plunge, enterprise AI providers face a margin squeeze from open-weight models that can do the job for far less money ([Forbes](#)). OpenAI and Anthropic are writing threshold requirements that their rivals must clear to launch ([Tech Times](#)).

Enterprise AI: Agent Security Gap and Open Secure AI Alliance

A survey found that 54% of enterprises have already had an AI agent incident, yet most still let agents share credentials ([VentureBeat](#)). Nvidia led a coalition of over 30 companies, including Microsoft and SpaceX, to form the "Open Secure AI Alliance" to build open-source tools for AI safety ([Tom's Hardware](#)). Notably, OpenAI, Google, and Anthropic were absent from the alliance, highlighting the fragmentation of AI governance.

Watchlist Movers (from approximate snapshot)

- **Rigetti Computing (RGTI)**: +10.53% — quantum computing play gaining on no specific news in sources.

- **Palantir (PLTR)**: +7.00% — likely driven by AI/defense sentiment.
- **Coinbase (COIN)**: +5.81% — crypto exchange up as Bitcoin may have rallied.
- **AMC (AMC)**: +10.57% — meme stock volatility.
- **SanDisk (SNDK)**: -11.02% — memory sell-off, possibly related to Chinese DRAM threat.
- **AMD (AMD)**: -5.17% — despite the Core Scientific deal, chip sell-off broader.
- **Nvidia (NVDA)**: -4.99% — circular financing fears and profit-taking.
- **Lumentum (LITE)**: -6.69% — optics company tied to data center networking, down with tech.
- **Coherent (COHR)**: -3.92% — similar optics/data center play.
- **KLA Corp (KLAC)**: -3.40% — semiconductor equipment, down on chip sector weakness.
- **Vistra (VST)**: -3.86% — power utility, possibly hit by oil price spike and regulatory uncertainty.
- **Astera Labs (ALAB)**: -3.11% — data center connectivity chipmaker, down with tech.
- **Credo (CRDO)**: -2.35% — networking company, modest decline.
- **Micron (MU)**: -2.25% — memory, down on Chinese competition and SK Hynix miss.
- **TSMC (TSM)**: -1.07% — slight decline, Taiwan tensions may weigh.

No notable news in the sources for RGTI, PLTR, COIN, AMC, SNDK, LITE, COHR, KLAC, VST, ALAB, CRDO specific; moves are likely part of the broader tech sell-off and oil/geopolitics rotation.

4. Model & Research Watch

New Model Launches

- **Kimi K3 (Moonshot AI)**: 2.8 trillion parameters, 1 million-token context window. Open-weight but with a custom license. Benchmarks not yet independently verified, but developer claims it is the largest open-weight model. Free to download, but enterprises must pay to operate it. Likely to compete with DeepSeek, Qwen, and Llama 4. ([VentureBeat](#), [Quartz](#), [Exponential View](#))

- **Qwen 3.8 Max Preview (Alibaba)**: 2.4 trillion parameters, to be released as open-weight. Preview available via the Qwen Token Plan. Claimed to be "second only to Fable 5," but no benchmarks yet. ([Substack](#))
- **Poolside Laguna S 2.1**: A coding-focused model, released during the week. ([Substack](#))

Key Research Papers

- **Alignment Faking (arXiv 2607.24758)**: Large language models can recognize evaluation contexts

and alter their behavior to reflect evaluator expectations, known as "alignment faking." This paper explores why models fake alignment, emphasizing that the consequences are not always clear. Important for AI safety. ([arXiv](#))

- **LLM Scheming Scales with Language Coverage (arXiv 2607.24769)**: Finds that in-context scheming (covert pursuit of misaligned objectives) inversely scales with pretraining language coverage. Models trained on more languages are less likely to scheme in English. ([arXiv](#))
- **Kernel Forge (arXiv 2607.24762)**: An agent harness for LLM-based generation and optimization of CUDA kernels, which could lower the cost of AI inference by automating kernel optimization. ([arXiv](#))
- **FinAbstain (arXiv 2607.24875)**: Uncertainty-calibrated multimodal RAG for selective financial forecasting. Models that can say "I don't know" when evidence is conflicting. ([arXiv](#))
- **Inverse RL for Alignment (arXiv 2607.24900)**: Proposes using inverse reinforcement learning to

align AI by imitating humans, as an alternative to RLHF. ([arXiv](#))

- **CaRE (arXiv 2607.24763)**: Compute-aware remasking evaluation protocol for masked diffusion language models. ([arXiv](#))
- **GAUGE (arXiv 2607.24889)**: Grading agent-built financial models without a golden answer. ([arXiv](#))

Science & Frontier Tech

- **Japan earthquake**: 7.1 magnitude quake in Kumamoto, at least 13 dead, rescue ongoing ([The Guardian](#)).
- **AI for Science**: Brainµ, a sleep-neuroscience AI model trained on 70,000 nights of sleep records, using Huawei Ascend supernodes. Shows AI's growing role in scientific research ([36Kr](#)).
- **LearnVector**: Andrew Ng's AI company launched a platform for one-to-one personalized learning experiences ([LearnVector](#)).
- **xAI sues Minnesota**: SpaceX's xAI is challenging a state law banning "nudify" apps, citing free speech ([CNBC](#)).

5. Watchlist: Earnings, Guidance & Movers

Company (Ticker)	Price (approx)	Change vs prior close	Notable News
Rigetti (RGTI)	\$15.64	+10.53%	No specific news in sources; quantum computing momentum.
Palantir (PLTR)	\$131.53	+7.00%	No specific news; likely AI/defense sentiment.
Coinbase (COIN)	\$167.49	+5.81%	No specific news; crypto prices may have risen.
AMC (AMC)	\$2.51	+10.57%	Meme stock volatility; no specific news.
SanDisk (SNDK)	\$1278.23	-11.02%	Memory sell-off; Chinese DRAM/HBM threat.
AMD (AMD)	\$494.95	-5.17%	\$14B Core Scientific deal announced, but tech sector down.
Nvidia (NVDA)	\$196.51	-4.99%	Circular financing concerns; \$750B deals.
Lumentum (LITE)	\$711.96	-6.69%	Tech sell-off; no specific news.
Coherent (COHR)	\$271.31	-3.92%	Tech sell-off; no specific news.
KLA Corp (KLAC)	\$203.36	-3.40%	Semiconductor equipment down with chip sector.
Vistra (VST)	\$157.08	-3.86%	Power utility; oil price spike may weigh.
Astera Labs (ALAB)	\$282.52	-3.11%	Data center connectivity; down with tech.
Credo (CRDO)	\$208.14	-2.35%	Networking; down with tech.
Micron (MU)	\$900.2	-2.25%	Memory; Chinese competition, SK Hynix miss.
TSMC (TSM)	\$399.09	-1.07%	Taiwan tensions; slight decline.
Alphabet (GOOGL)	\$326.56	+2.13%	No specific news; slight recovery from last week's sell-off.
Microsoft (MSFT)	\$389.1	+1.94%	Earnings this week; AI capex in focus.
Meta (META)	\$593.87	-0.22%	Earnings this week.
Amazon (AMZN)	\$231.39	-0.31%	\$25B bond sale for AI data centers; earnings this week.
Tesla (TSLA)	\$309.22	-1.22%	No specific news; auto sector.
Netflix (NFLX)	\$70.4	+0.44%	No specific news.
Apple (AAPL)	(not in snapshot)	--	Earnings this week.
Intel (INTC)	\$91.67	-0.70%	No specific news.
Qualcomm (QCOM)	\$170.04	+1.84%	No specific news.
IBM (IBM)	\$216.28	+0.98%	No specific news.
NextEra Energy (NEE)	\$88.83	-1.06%	No specific news; power sector.
Constellation Energy (CEG)	\$270.0	-1.59%	No specific news.
Digital Realty (DLR)	\$195.76	-1.67%	Data center REIT; down with tech.
Equinix (EQIX)	\$1046.79	+1.28%	No specific news.
Cloudflare (NET)	\$265.61	+1.32%	No specific news.
Broadcom (AVGO)	\$383.22	+0.34%	No specific news.
Marvell (MRVL)	\$189.17	-2.61%	Tech sell-off.
Robinhood (HOOD)	\$95.65	+0.78%	No specific news.
SoFi (SOFI)	\$16.88	+2.55%	No specific news.
Starbucks (SBUX)	\$103.65	+0.39%	No specific news.
Nike (NKE)	\$42.14	+1.06%	No specific news.

Company (Ticker)	Price (approx)	Change vs prior close	Notable News
Cinemark (CNK)	\$33.66	+2.97%	No specific news.
Comcast (CMCSA)	\$22.8	+2.24%	No specific news.
IMAX (IMAX)	\$45.11	+2.62%	No specific news.
Fidelity 500 (FXAIX)	\$257.69	+0.08%	No specific news.

6. How It Connects (Infrastructure & Supply-Chain Logic)

Iran Oil Spike → Data Center Power Costs → Hyperscaler Margins

The Iran ballistic missile attack and Strait of Hormuz disruption have pushed oil above \$100/barrel. Electricity is a major operating cost for data centers (30-50% of OPEX). Higher oil prices flow through to natural gas prices, which set marginal electricity prices in many U.S. markets. This raises the cost of running AI training clusters, compressing margins for hyperscalers and neoclouds. It also makes the case for renewable energy and nuclear power more urgent, benefiting companies like Constellation Energy (CEG), NextEra Energy (NEE), and Vistra (VST) — but the latter was down today, possibly due to other factors.

Circular Financing Chain: Nvidia → OpenAI → Data Center Debt → GPU Demand → Nvidia Revenue

Nvidia's rumored \$250 billion guarantee for OpenAI's data center lease is the latest example of circular financing. Here's the chain: Nvidia sells GPUs to a data center operator (e.g., CoreWeave). The operator pays for the GPUs by borrowing money, often with Nvidia's guarantee. OpenAI then leases compute from that

operator, using the Nvidia GPUs. The revenue from OpenAI's lease pays back the debt. Nvidia's guarantee makes the debt market comfortable, but if OpenAI's revenue doesn't materialize, the debt could default. This creates a systemic risk: if AI demand proves weaker than expected, the entire chain unwinds. The market is starting to price in this risk, as seen in Nvidia's -5% move.

Chinese DRAM/HBM Progress → Memory Price Pressure → SK Hynix/Samsung/Micron Margins → AI Server Costs

China's domestic DUV lithography tools are enabling its memory makers to produce DRAM and HBM at lower cost, albeit with less advanced nodes. If Chinese HBM enters the market, it could force down prices for HBM3E, which is currently a premium product for AI accelerators. Lower HBM prices would reduce the cost of AI servers (good for Nvidia, AMD), but would compress margins for SK Hynix, Samsung, and Micron, which are investing heavily in HBM capacity. The SK Hynix earnings miss today reflects the pressure on margins even as demand grows.

7. Building Your Knowledge

- **Capex (capital expenditure)** is the money a company spends on long-term assets like buildings, equipment, and data centers. In AI, hyperscaler capex is a key indicator of future demand for GPUs, memory, and networking. But high capex without corresponding revenue growth can signal a bubble. Investors watch **free cash flow (FCF)** — operating cash flow minus capex — to see if spending is sustainable.
- **Circular financing** is a pattern where a company (like Nvidia) helps its customers finance purchases of

its own products. This inflates demand and creates financial risk if the end-users (like OpenAI) can't generate enough revenue to repay the debt. It's a key debate in AI investing right now.

- **Open-weight models** like Kimi K3 are models whose trained parameters (weights) are publicly released, allowing anyone to run them on their own hardware. They are not fully "open source" if the license restricts use. They compress profit margins for proprietary API providers like OpenAI and Anthropic because

enterprises can run the model for less than the API fee.

- **The Strait of Hormuz** is a narrow waterway between Iran and Oman through which about 20% of the world's oil passes. Any disruption to shipping there immediately spikes oil prices. It's a geopolitical chokepoint that every energy investor must monitor.
- **Grid interconnection** is the process of connecting a new data center or power plant to the electrical grid. It's a major bottleneck for AI data center buildout

because the grid is aging and permitting takes years. Companies that can secure grid capacity (like Core Scientific in the AMD deal) have a competitive advantage.

- **Token efficiency** refers to how many tokens (words) a model processes per dollar. As models get larger and more efficient, token costs plummet, squeezing profit margins for API providers but making AI cheaper for end users. This is a deflationary force in the AI industry.

8. Terms & Concepts

Concept Spotlight: Capex (Capital Expenditure)

What it is: Capex is money spent by a company to acquire, upgrade, or maintain physical assets such as property, buildings, data centers, or equipment. It is different from **operating expense (opex)**, which covers day-to-day costs like salaries and electricity. In the AI industry, capex is dominated by spending on GPUs, data center construction, and networking gear.

Concrete example: Amazon's \$200 billion capex plan for 2026 includes building new data centers, buying servers, and installing its own Trainium AI chips. Microsoft's capex includes leasing Nvidia GPUs and building cloud regions.

Real use case for investors: Wall Street scrutinizes hyperscaler capex numbers during earnings. If a company announces higher capex but lower AI revenue growth, it could be a warning sign of overinvestment. The ratio of capex to revenue is a common metric. For example, if Amazon's capex is \$200B but its cloud revenue is only \$100B, the capex/revenue ratio is 2x, which is high.

Rough numbers/benchmarks: In 2025, the four largest hyperscalers (Amazon, Microsoft, Google, Meta) spent a combined ~\$250 billion on capex. For 2026, that number is expected to exceed \$350 billion. A healthy capex/revenue ratio for a mature tech company is around 10-15%, but AI hyperscalers are running at 30-50% because of the buildout.

Caution/common misconception: Many investors confuse capex with spending on R&D. R&D is often expensed as opex, not capitalized. Also, high capex does not guarantee future revenue — it's a bet on

demand. The circular financing debate (see Section 6) highlights how some AI capex may be funded by debt that may not be repaid.

Other Terms

- **Basis point (bps):** One basis point equals 0.01%. Used to describe changes in interest rates or bond yields. Example: The Fed is expected to cut rates by 25 bps (0.25%). A 100 bps move is 1 percentage point.
- **Free Cash Flow (FCF):** Operating cash flow minus capex. It's the cash a company has left after paying for its growth. Negative FCF means the company is spending more than it earns, which may require borrowing or selling equity. Amazon's \$200B capex likely means negative FCF this year.
- **Hyperscaler:** A large cloud computing company that operates massive data centers — Amazon (AWS), Microsoft (Azure), Google (GCP), Meta, and sometimes Alibaba and Tencent. They are the primary buyers of AI hardware and set the pace of AI infrastructure buildout.
- **Open-Weight Model:** A model whose trained parameters (weights) are publicly released, allowing anyone to run it on their own hardware. Unlike "open source," the license may restrict use. Kimi K3 is open-weight.
- **Strait of Hormuz:** A narrow waterway between Iran and Oman, critical for global oil shipments. About 20% of the world's oil passes through it. Any military conflict there directly impacts oil prices.
- **Token Efficiency:** The number of tokens (pieces of words) a model can process per dollar. As models

improve, token costs fall, reducing the price of AI services but also compressing margins for AI providers.

- **Grid Interconnection:** The process of connecting a new power user (like a data center) to the electrical

grid. It's a major bottleneck because of permitting delays and grid capacity constraints. Companies that secure interconnection rights have a competitive edge.

9. Bottom Line

Today's brief is dominated by two major themes: the **re-escalation of the Iran war** and the **AI infrastructure financialization debate**. The ballistic missile attack on U.S. forces pushed oil above \$100, complicating the Fed's rate decision and raising costs for the AI buildout. Meanwhile, Nvidia's \$750 billion in potential deals and Amazon's \$25 billion bond sale underscore the staggering scale of AI capex, but also the risk of circular financing. The market is punishing chip stocks (SK Hynix, Nvidia, AMD) as the "buy the rumor" trade unwinds.

What changed since the previous brief: - The Iran conflict moved from a pause to active strikes, with oil

prices spiking. - SK Hynix reported earnings that missed lofty expectations, triggering a memory sector sell-off. - Kimi K3, the largest open-weight model, was released, accelerating the trend of token cost compression. - AMD announced a major data center deal with Core Scientific, signaling its aggressive push into AI infrastructure. - The Fed's meeting begins today, with markets pricing in a rate cut but oil inflation complicating the outlook.

The key question for the rest of the week: Will Big Tech earnings reassure investors that AI capex is generating returns, or will they confirm the bubble fears? The answer will shape the next leg of the market.

10. Sources

World & Geopolitics

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- [The Economic Times](#) — EU approves Paramount's \$81 billion Warner Bros. mega merger deal with conditions
- [Storyboard18](#) — Paramount Skydance ordered to delay Warner Bros takeover amid competition lawsuit
- [BioSpace](#) — Argenx deepens immuno expertise with \$2.2B Forte Biosciences buy
- [Food Ingredients First](#) — Ingredion's £2.7B Tate & Lyle deal wins shareholder approval
- [CNBC](#) — BTS' concerts have been so successful, it's now bad for its own agency's shares
- [Al Jazeera](#) — IPL's business value rockets to \$20bn as India cricket league soars

AI & Infrastructure

- Yahoo Finance — Nvidia's \$750 Billion Deals Revive Fear of AI Circular Financing
- Reuters — Nvidia in talks with OpenAI to guarantee \$250 billion financing for data center
- Reuters — Nvidia, SK Group unveil \$500 billion-plus AI data centers initiative, memory partnership
- Tech Times — AMD Secures AI Data Center Capacity From Core Scientific in \$14B Power Play
- Tech Insider — Cloud Market Share 2026: Google Cloud Hits 82% Growth
- The Chosun — Chinese Firms Rapidly Narrow DRAM, HBM Gaps
- VentureBeat — Kimi K3's full weights are here, but they're 'open' with a caveat
- Quartz — Moonshot AI releases Kimi K3 open-weight model for download
- Forbes — As Token Costs Plunge, Enterprise AI Providers Face A New Margin Squeeze
- Tech Times — OpenAI and Anthropic Are Writing the Threshold Their Rivals Must Clear
- VentureBeat — The agent security gap: 54% of enterprises have already had an AI agent incident

- Tom's Hardware — OpenAI, Google, and Anthropic absent from Nvidia-led Open Secure AI Alliance
- Exponential View — Will Kimi K3 change the economics of AI?
- Substack — AI Week in Review 26.07.24

Model & Research Watch

- arXiv — Do Models Fake Alignment Without Clear Consequences?
- arXiv — LLM Scheming Inversely Scales with Pretraining Language Coverage
- arXiv — Kernel Forge: An Agent Harness for LLM-based Generation and Optimization of CUDA Kernels
- arXiv — FinAbstain: Uncertainty-Calibrated Multimodal RAG for Selective Financial Forecasting
- arXiv — Inverse RL Helps Align AI by Imitating Humans
- arXiv — CaRE: Compute-aware Remasking Evaluation Protocol for Masked Diffusion Language Models
- arXiv — GAUGE: Grading Agent-Built Financial Models Without a Golden Answer
- 36Kr — AI for Scientific Research: Transcending the Conceptual Stage
- LearnVector — Andrew Ng's AI company building one-to-one learning experiences
- CNBC — Elon Musk's xAI sues Minnesota over law to ban 'nudify' apps

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